T-12 OPERATING STATEMENT

Upland Business Park | Detroit, MI

Property	Upland Business Park
Period Ending	April 20, 2025
Basis	Accrual - Trailing 12 Months
Prepared By	Elmstead Asset Services
Size	105,000 SF

Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4000 Gross Potential Rent	136,855	132,132	126,044	125,280	128,850	133,414	130,939	129,517	129,277	125,279	133,188	124,632	1,555,409
4010 Loss to Lease	18,426	17,021	17,058	19,033	18,494	18,990	17,379	18,995	17,909	18,837	18,196	17,485	217,824
4020 Vacancy Loss	106,895	104,572	100,361	97,986	104,237	102,473	102,738	110,726	99,510	103,494	110,497	98,702	1,242,190
4030 Concessions	49,233	48,560	44,994	46,648	46,528	45,972	46,388	45,177	46,940	48,412	47,802	50,190	566,844
4040 Bad Debt	96,742	99,220	99,345	98,281	101,854	105,037	98,168	107,636	102,319	95,006	108,429	96,398	1,208,436
4050 Late Fees	19,400	21,793	21,456	19,099	21,934	20,651	21,830	21,946	21,399	19,747	21,337	21,325	251,919
4060 Utility Reimbursements	70,747	75,594	74,811	76,460	75,101	69,474	69,535	77,696	74,294	75,974	72,629	71,574	883,888
4070 Parking Income	57,047	56,075	58,867	54,901	57,801	57,702	56,262	53,068	57,499	58,047	53,211	57,145	677,622
4080 Application Fees	43,461	41,124	43,120	43,389	45,069	39,910	43,310	42,227	43,665	44,399	44,775	42,527	516,975
4090 Pet Rent	32,062	33,574	33,291	29,958	30,410	31,362	31,176	32,470	32,491	30,132	30,788	33,277	380,991
4100 Laundry Income	74,429	74,459	75,687	74,720	68,063	73,829	70,324	71,513	66,877	69,397	67,243	76,249	862,788
4110 Cable/Internet Revenue	32,819	34,522	35,681	32,184	36,474	34,566	32,228	34,673	33,514	34,308	35,882	35,980	412,832
4120 CAM Reimbursements	67,771	66,774	68,696	71,188	70,683	64,137	72,904	64,394	69,691	67,297	66,773	64,154	814,461
4130 Tax Reimbursements	111,008	104,465	99,902	99,432	98,723	111,521	110,043	105,626	113,176	108,445	109,121	100,768	1,272,229
4140 Insurance Reimbursemen	80,995	83,932	81,415	89,066	90,520	85,747	86,771	88,737	82,581	90,425	86,506	88,812	1,035,507
4150 Percentage Rent	113,736	102,563	113,007	114,435	107,525	104,485	114,063	108,468	106,196	114,122	113,489	114,830	1,326,918
4160 Misc. Income	58,206	59,705	64,430	58,022	57,760	57,673	57,704	57,005	58,002	59,572	56,690	58,288	703,056
4170 Payroll - Management	14,631	16,330	14,568	16,228	14,709	14,580	15,662	14,632	14,796	15,907	14,780	15,780	182,602
4180 Payroll - Leasing	14,370	14,191	13,200	13,283	13,470	14,303	14,033	13,394	14,037	14,207	14,765	13,141	166,394
4190 Payroll - Maintenance	9,053	9,359	9,373	8,237	8,899	9,392	9,342	8,836	8,430	8,606	8,743	9,314	107,584
4200 Payroll Taxes & Benefits	3,448	3,676	3,606	3,507	3,638	3,752	3,402	3,636	3,472	3,367	3,337	3,753	42,592
4210 Repairs - Plumbing	4,533	4,709	4,436	4,414	4,658	4,346	4,600	4,578	4,946	4,678	4,403	4,480	54,781
4220 Repairs - HVAC	7,807	7,724	7,625	7,348	7,152	6,903	7,014	7,408	6,947	7,763	7,428	7,745	88,866
4230 Repairs - Electrical	11,801	11,785	11,436	11,815	11,235	12,111	11,777	11,368	11,294	12,646	11,274	12,734	141,277
4240 Repairs - Appliances	6,823	6,371	6,602	6,478	5,994	6,307	6,058	5,984	6,822	6,388	6,206	6,405	76,439

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Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4470 Property Insurance	7,623	6,713	7,023	7,324	7,268	6,874	6,874	7,577	7,220	7,627	7,197	6,878	86,198
4480 Real Estate Taxes	2,057	2,124	2,102	2,166	2,173	1,973	2,186	1,964	2,110	2,054	2,014	2,087	25,008
4490 Asset Management Fee	10,966	10,797	10,622	10,198	10,509	10,983	10,802	10,486	10,428	11,178	11,154	10,133	128,257
4500 Replacement Reserves	13,309	13,909	14,120	12,917	12,630	13,240	12,911	13,913	13,628	13,010	12,384	14,069	160,040
4510 Roof Repairs	6,371	6,211	6,172	6,119	6,448	6,465	5,891	5,721	6,245	5,969	6,420	6,261	74,295
4520 Parking Lot Repairs	9,493	8,636	8,663	9,005	8,615	8,889	8,830	8,909	9,142	8,766	9,009	9,265	107,222
4530 Signage	7,167	7,602	7,696	7,694	7,557	7,780	7,619	7,636	7,169	7,350	7,157	6,895	89,322
4540 Tenant Improvements	14,012	13,711	13,651	14,517	14,189	13,243	13,790	13,854	13,646	13,963	14,046	13,662	166,284
4550 Leasing Commissions	11,323	11,360	12,074	11,964	11,979	11,868	11,152	12,075	11,502	11,370	10,869	10,712	138,249
4000 Gross Potential Rent	126,712	131,274	128,721	126,128	137,597	124,036	125,690	136,394	129,335	127,466	123,105	122,806	1,539,264
4010 Loss to Lease	117,057	114,413	107,471	104,422	116,426	113,442	111,803	111,289	110,300	113,898	117,118	112,984	1,350,623
4020 Vacancy Loss	68,396	64,294	61,474	61,363	64,974	61,706	65,105	67,353	64,175	65,396	66,380	62,813	773,429
4030 Concessions	113,137	113,397	111,925	100,259	105,899	108,351	107,531	101,038	112,450	98,675	107,362	106,460	1,286,484
4040 Bad Debt	66,717	72,198	72,626	65,751	68,642	68,180	70,785	72,070	67,836	66,574	72,042	67,641	831,063
4050 Late Fees	10,700	11,503	10,760	10,563	10,631	11,219	11,500	10,762	11,569	11,034	11,345	10,207	131,793
4060 Utility Reimbursements	76,929	79,311	85,960	82,307	83,012	85,131	87,243	84,678	83,271	76,323	85,133	82,755	992,053
4070 Parking Income	75,191	79,050	79,613	70,391	76,298	80,258	79,072	72,241	73,251	71,765	76,984	73,500	907,613
4080 Application Fees	97,782	88,656	97,407	92,884	89,980	95,936	88,131	97,533	94,141	87,585	92,769	97,582	1,120,386
4090 Pet Rent	83,072	78,323	83,551	78,223	77,531	80,107	73,784	75,287	76,187	75,962	77,215	77,821	937,062
4100 Laundry Income	54,078	52,589	55,019	53,543	58,943	57,525	52,042	57,451	58,740	54,265	52,946	55,207	662,348
4110 Cable/Internet Revenue	54,188	51,811	55,103	58,014	56,789	56,484	57,392	50,976	57,656	52,580	51,056	55,633	657,682
4120 CAM Reimbursements	78,495	75,082	79,326	84,111	81,853	78,091	80,799	79,262	74,833	82,636	78,732	77,756	950,978
4130 Tax Reimbursements	57,055	57,405	58,399	62,490	62,579	62,375	63,152	61,921	62,434	56,435	56,656	61,283	722,183
4140 Insurance Reimbursemen	64,899	62,549	67,732	69,004	67,532	65,701	61,575	62,277	67,405	61,197	68,197	63,374	781,441
4150 Percentage Rent	53,167	53,995	49,080	54,456	51,556	51,114	51,147	52,127	53,612	50,612	48,011	54,052	622,930
4160 Misc. Income	97,535	102,750	103,528	96,620	95,490	99,993	101,512	92,811	103,352	95,578	99,913	101,976	1,191,058
4170 Payroll - Management	7,084	6,686	7,448	6,768	7,554	6,844	6,835	6,912	6,715	7,425	7,359	7,323	84,955
4180 Payroll - Leasing	13,904	13,233	13,749	14,114	13,562	13,839	13,542	13,266	13,317	12,900	13,406	12,986	161,818
4190 Payroll - Maintenance	10,708	10,146	10,613	10,083	10,946	10,815	11,349	10,594	10,528	10,264	10,586	11,165	127,798
4200 Payroll Taxes & Benefits	11,455	11,904	11,664	11,878	11,674	11,442	11,141	11,432	11,229	10,707	10,727	11,341	136,594
4210 Repairs - Plumbing	9,183	9,300	9,035	9,762	8,690	9,160	8,847	9,094	9,166	8,753	9,430	9,356	109,777
4220 Repairs - HVAC	4,593	4,387	4,155	4,257	4,232	4,669	4,389	4,683	4,206	4,343	4,423	4,658	52,997
4230 Repairs - Electrical	7,905	7,945	7,526	8,069	8,289	7,337	7,789	7,937	8,108	7,967	8,072	8,143	95,087
4240 Repairs - Appliances	8,032	7,867	8,170	8,287	8,572	8,150	8,164	7,992	8,651	8,199	8,203	8,606	98,891
4250 Painting & Decorating	13,513	13,634	13,944	12,787	12,824	12,819	14,189	13,306	12,913	13,302	12,609	14,044	159,885
4260 Flooring	4,327	4,361	4,338	4,444	4,214	3,958	4,181	4,146	4,046	4,227	3,964	4,423	50,628
4270 Make-Ready / Turnover	1,886	1,672	1,816	1,775	1,873	1,709	1,783	1,802	1,740	1,709	1,866	1,799	21,430
4280 Landscaping Contract	10,129	9,780	9,862	10,343	10,470	10,121	9,965	10,443	10,574	9,826	10,890	11,005	123,409
4290 Snow Removal	3,912	3,668	3,853	3,743	4,015	3,989	4,000	3,827	3,920	3,951	3,668	3,952	46,500
4300 Janitorial	10,255	11,080	11,103	10,123	10,067	11,231	11,097	10,039	11,064	10,955	10,829	10,106	127,949
4310 Pest Control	5,557	5,358	5,174	5,427	5,094	5,200	4,941	5,473	5,181	5,436	5,538	5,354	63,732
4320 Trash Removal	13,430	13,344	11,802	11,860	11,903	13,359	13,084	13,181	12,199	13,015	13,382	12,246	152,805
4330 Elevator Contract	4,926	5,608	5,491	5,452	5,270	5,259	5,344	5,226	5,035	5,609	5,509	5,366	64,097
4340 Fire & Life Safety	9,562	8,651	8,795	9,132	8,557	9,084	8,516	9,164	9,484	9,274	9,369	9,389	108,975
4350 Security	6,608	6,690	6,946	6,750	6,596	6,976	6,248	6,134	6,197	6,439	6,421	6,385	78,388
4360 Electricity - Common	2,409	2,392	2,440	2,546	2,430	2,352	2,544	2,235	2,289	2,341	2,420	2,394	28,791
4370 Gas - Common	5,141	5,075	4,696	4,909	4,894	4,732	4,559	4,679	4,622	4,702	4,925	5,008	57,941

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Valuation Discussion

The going-in capitalization rate of 7.23% reflects the in-place income and the stabilized occupancy assumption. Management fees are calculated at 4.7% of collected revenue and are included in operating expenses. Effective gross income for the trailing period was $262,000, representing a 10.0% increase over the prior year. The facility is located 5 miles from the interstate with access to a regional intermodal terminal.

Operating expenses totaled $115,000 or approximately 43.03 per square foot, with real estate taxes representing the largest line item. Effective gross income for the trailing period was $91,000, representing a 3.1% increase over the prior year. Debt service coverage ratio was 6.87x on a trailing basis against a covenant minimum of 1.20x. In-place rents average $11 per square foot triple net with 3% annual escalations.

Management Commentary

Cross-dock and rear-load configurations allow for flexible multi-tenant demising. Collections for the period were 89.5% of billed charges, with bad debt of 4.0% of gross potential income. The building offers 21' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking. The facility is located 8 miles from the interstate with access to a regional intermodal terminal. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 33 additional team members. Cross-dock and rear-load configurations allow for flexible multi-tenant demising. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Service requests are tracked through a work-order system with an average completion time of 41 hours. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

Financial Analysis

The building offers 8' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking. Effective gross income for the trailing period was $442,000, representing a 3.7% increase over the prior year. Operating expenses totaled $175,000 or approximately 34.09 per square foot, with real estate taxes representing the largest line item. In-place rents average $11 per square foot triple net with 3% annual escalations. The going-in capitalization rate of 7.92% reflects the in-place income and the stabilized occupancy assumption.

Effective gross income for the trailing period was $360,000, representing a 13.2% increase over the prior year. The facility is located 4 miles from the interstate with access to a regional intermodal terminal. Cross-dock and rear-load configurations allow for flexible multi-tenant demising. Management fees are calculated at 8.0% of collected revenue and are included in operating expenses.

Management Commentary

Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. The building offers 43' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Collections for the period were 91.1% of billed charges, with bad debt of 6.0% of gross potential income. Cross-dock and rear-load configurations allow for flexible multi-tenant demising. Service requests are tracked through a work-order system with an average completion time of 14 hours.

Cross-dock and rear-load configurations allow for flexible multi-tenant demising. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 44 additional team members. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. In-place rents average $11 per square foot triple net with 3% annual escalations. The building offers 15' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking. Service requests are tracked through a work-order system with an average completion time of 3 hours.

Operating Performance

In-place rents average $11 per square foot triple net with 3% annual escalations. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Debt service coverage ratio was 7.50x on a trailing basis against a covenant minimum of 1.20x. The building offers 39' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking.

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Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4340 Fire & Life Safety	12,141	10,967	11,802	12,133	12,247	12,286	12,185	10,806	10,831	12,256	11,336	12,312	141,303
4350 Security	5,700	5,692	5,704	5,656	5,642	5,959	5,995	6,004	5,557	5,826	6,241	5,674	69,653
4360 Electricity - Common	1,430	1,417	1,470	1,392	1,422	1,427	1,348	1,345	1,344	1,475	1,468	1,519	17,056
4370 Gas - Common	3,702	3,467	3,826	3,768	3,926	3,699	3,783	3,730	3,586	3,525	3,871	3,774	44,658
4380 Water & Sewer	14,934	14,858	13,442	13,905	14,226	14,217	14,677	15,015	14,259	13,982	13,923	13,941	171,378
4390 Telephone/Internet	10,814	10,898	11,879	11,471	11,571	11,631	11,104	10,774	11,401	10,814	11,235	11,197	134,790
4400 Advertising	2,618	2,651	2,701	2,542	2,513	2,642	2,416	2,503	2,460	2,553	2,589	2,426	30,616
4410 Resident Events	6,596	6,437	6,339	7,077	6,643	7,010	6,679	6,515	6,475	6,717	6,964	6,201	79,652
4420 Office Supplies	8,043	8,767	8,919	8,900	8,531	8,068	8,578	8,650	8,880	8,650	8,923	8,614	103,523
4430 Legal & Professional	11,462	12,128	11,720	12,767	12,268	12,579	12,922	11,454	12,978	12,972	11,316	11,511	146,077
4440 Accounting & Audit	8,867	8,744	9,450	8,792	9,213	9,429	8,654	8,938	8,828	8,519	9,180	8,738	107,353
4450 Licenses & Permits	10,378	10,982	11,228	10,476	11,116	11,265	10,449	10,713	10,209	11,012	10,201	10,970	128,998
4460 Management Fee	12,524	12,581	14,156	13,842	13,979	13,595	12,583	12,615	12,804	13,792	13,699	13,063	159,233
4470 Property Insurance	7,405	7,891	7,136	7,587	7,395	7,345	7,315	7,303	7,076	7,441	7,426	7,890	89,211
4480 Real Estate Taxes	3,046	3,218	3,108	3,287	3,431	3,470	3,154	3,316	3,241	3,336	3,338	3,083	39,028
4490 Asset Management Fee	7,557	7,079	7,852	7,290	7,714	7,954	7,158	7,278	7,814	6,978	7,069	7,243	88,985
4500 Replacement Reserves	10,333	10,867	10,263	11,064	10,934	11,147	11,246	11,368	10,479	10,437	10,298	10,672	129,108
4510 Roof Repairs	10,079	10,177	10,573	9,877	10,445	10,856	9,734	10,246	10,094	9,805	10,934	9,792	122,612
4520 Parking Lot Repairs	7,052	7,168	7,153	7,152	7,821	7,211	7,057	7,476	6,972	7,595	7,227	7,481	87,364
4530 Signage	13,171	13,227	13,262	14,301	14,365	12,996	14,242	13,024	13,790	12,864	13,165	14,544	162,950
4540 Tenant Improvements	4,990	5,440	5,281	5,688	5,457	5,099	5,413	5,274	4,965	5,692	5,353	5,178	63,830
4550 Leasing Commissions	6,301	6,299	6,547	6,769	6,058	6,746	6,712	6,806	6,816	6,421	5,992	6,548	78,016
4000 Gross Potential Rent	126,110	136,886	134,884	134,869	136,455	124,468	129,602	138,602	136,873	137,368	133,450	127,994	1,597,561
4010 Loss to Lease	17,849	17,576	17,403	16,236	16,942	16,361	16,598	17,369	17,393	16,528	17,912	16,091	204,258
4020 Vacancy Loss	1,510	1,661	1,692	1,669	1,588	1,564	1,656	1,583	1,726	1,650	1,728	1,666	19,694
4030 Concessions	53,711	59,371	56,734	59,319	55,713	61,512	59,705	57,967	57,730	60,249	60,667	56,307	698,984
4040 Bad Debt	39,563	38,898	41,708	42,656	42,706	38,793	38,487	41,601	38,925	41,631	39,617	39,153	483,739
4050 Late Fees	16,092	14,574	14,258	16,165	14,446	15,786	14,433	16,260	15,396	15,336	16,134	15,454	184,334
4060 Utility Reimbursements	29,447	27,810	26,008	26,215	28,950	27,962	26,147	26,885	26,933	27,383	28,942	26,112	328,795
4070 Parking Income	78,864	82,997	81,565	76,383	81,468	75,851	85,164	76,354	82,401	74,827	81,049	82,977	959,900
4080 Application Fees	113,393	107,640	104,311	104,553	105,930	108,347	111,165	100,973	110,225	114,562	113,990	114,531	1,309,620
4090 Pet Rent	33,807	31,531	33,916	32,286	33,042	31,864	31,482	33,581	31,749	31,359	35,666	32,463	392,746
4100 Laundry Income	37,579	34,890	38,746	35,218	38,473	37,649	37,624	38,059	37,713	35,197	36,035	36,371	443,555
4110 Cable/Internet Revenue	112,493	105,856	104,563	115,206	103,394	113,046	110,162	114,287	114,265	117,084	104,048	110,805	1,325,210
4120 CAM Reimbursements	41,819	42,594	41,763	41,669	44,027	43,923	43,869	44,292	44,487	41,109	42,697	42,694	514,943
4130 Tax Reimbursements	4,779	4,847	4,765	5,243	4,835	5,251	5,175	5,153	5,304	4,782	5,273	5,422	60,827
4140 Insurance Reimbursemen	25,885	25,701	24,617	26,095	25,966	25,468	23,875	24,263	25,705	24,831	23,984	24,728	301,119
4150 Percentage Rent	77,954	73,906	74,540	69,721	73,674	75,008	75,032	68,661	77,680	75,882	71,548	78,453	892,060
4160 Misc. Income	103,383	97,681	98,018	102,609	100,507	103,313	98,311	93,039	93,289	104,413	103,950	106,647	1,205,161
4170 Payroll - Management	14,028	14,392	14,742	15,653	15,124	14,947	15,550	14,998	14,494	13,797	14,675	14,847	177,249
4180 Payroll - Leasing	12,782	12,831	13,248	13,143	12,072	12,752	13,718	13,138	12,932	12,496	12,525	12,141	153,777
4190 Payroll - Maintenance	6,581	7,335	7,295	6,874	6,710	7,096	6,994	6,876	6,906	7,355	7,547	7,547	85,116
4200 Payroll Taxes & Benefits	15,363	15,722	15,865	14,405	15,848	15,698	15,460	15,072	15,437	14,591	14,641	15,779	183,881
4210 Repairs - Plumbing	4,015	4,285	4,077	4,209	3,836	3,984	3,932	4,094	4,261	4,183	4,217	4,065	49,158
4220 Repairs - HVAC	3,120	3,215	3,335	3,205	3,323	3,228	3,359	3,224	3,062	3,200	3,206	3,447	38,924

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Valuation Discussion

Net operating income is projected to grow at a compound annual rate of 4.5% over the hold period. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Cross-dock and rear-load configurations allow for flexible multi-tenant demising. In-place rents average $11 per square foot triple net with 3% annual escalations.

The going-in capitalization rate of 5.26% reflects the in-place income and the stabilized occupancy assumption. The building offers 48' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking. Cross-dock and rear-load configurations allow for flexible multi-tenant demising. Effective gross income for the trailing period was $287,000, representing a 6.0% increase over the prior year. In-place rents average $11 per square foot triple net with 3% annual escalations.

Management Commentary

In-place rents average $11 per square foot triple net with 3% annual escalations. Service requests are tracked through a work-order system with an average completion time of 39 hours. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 44 additional team members. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

The manager completes a monthly walk of the property and submits a variance report to the owner by the 47th business day. Service requests are tracked through a work-order system with an average completion time of 27 hours. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 45 additional team members. The facility is located 7 miles from the interstate with access to a regional intermodal terminal. In-place rents average $11 per square foot triple net with 3% annual escalations. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

Operating Performance

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The building offers 48' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking. Cross-dock and rear-load configurations allow for flexible multi-tenant demising. Debt service coverage ratio was 6.43x on a trailing basis against a covenant minimum of 1.20x.

The going-in capitalization rate of 6.57% reflects the in-place income and the stabilized occupancy assumption. The building offers 10' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking. The facility is located 4 miles from the interstate with access to a regional intermodal terminal. Net operating income is projected to grow at a compound annual rate of 7.1% over the hold period. Cross-dock and rear-load configurations allow for flexible multi-tenant demising.

Leasing and Marketing

Cross-dock and rear-load configurations allow for flexible multi-tenant demising. The building offers 38' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking. Collections for the period were 88.3% of billed charges, with bad debt of 7.1% of gross potential income. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. The facility is located 6 miles from the interstate with access to a regional intermodal terminal.

The facility is located 4 miles from the interstate with access to a regional intermodal terminal. In-place rents average $11 per square foot triple net with 3% annual escalations. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The manager completes a monthly walk of the property and submits a variance report to the owner by the 9th business day. Collections for the period were 96.8% of billed charges, with bad debt of 7.0% of gross potential income. Service requests are tracked through a work-order system with an average completion time of 31 hours.

Financial Analysis

The building offers 19' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking. In-place rents average $11 per square foot triple net with 3% annual escalations. Effective gross income for the trailing period was $322,000, representing a 6.9% increase over the prior year. The going-in capitalization rate of 7.50% reflects the in-place income and the stabilized occupancy assumption. Operating expenses totaled $376,000 or approximately 20.79 per square foot, with real estate taxes representing the largest line item. The facility is located 6 miles from the interstate with access to a regional intermodal terminal.

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Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4260 Flooring	13,556	13,948	13,137	14,640	12,876	14,247	13,325	14,118	12,900	14,723	13,055	14,530	165,056
4270 Make-Ready / Turnover	4,636	4,364	4,890	4,699	4,620	4,723	4,477	4,605	4,594	4,543	4,872	4,446	55,470
4280 Landscaping Contract	11,453	12,578	12,165	12,448	11,994	11,501	12,474	12,254	11,946	12,745	12,080	11,529	145,167
4290 Snow Removal	8,450	8,972	8,956	7,863	8,678	8,799	8,413	8,742	7,922	8,216	8,478	7,827	101,317
4300 Janitorial	7,857	7,624	7,596	7,828	8,030	7,591	7,544	7,702	7,630	7,732	7,569	7,755	92,458
4310 Pest Control	11,767	11,416	12,035	10,659	11,747	12,121	12,242	11,916	11,616	12,030	11,630	11,103	140,282
4320 Trash Removal	11,434	10,259	11,609	11,177	10,600	11,052	10,631	11,546	10,535	10,278	10,545	11,688	131,356
4330 Elevator Contract	6,196	6,551	6,794	6,696	6,100	6,731	6,197	6,321	6,357	6,377	6,789	6,572	77,680
4340 Fire & Life Safety	8,608	8,409	8,278	8,480	8,937	8,248	8,475	8,944	9,331	8,500	8,245	8,167	102,622
4350 Security	16,704	15,279	15,011	15,566	15,771	16,698	15,043	16,117	16,347	15,331	15,346	15,404	188,617
4360 Electricity - Common	13,172	12,495	12,290	11,861	12,194	11,710	13,207	12,992	12,029	11,841	12,162	11,695	147,649
4370 Gas - Common	12,723	12,360	12,158	12,873	12,614	11,950	11,669	11,768	12,557	12,828	12,463	12,747	148,709
4380 Water & Sewer	14,467	12,999	12,775	13,807	13,652	14,330	13,371	13,764	13,166	13,996	12,842	14,261	163,430
4390 Telephone/Internet	7,721	8,140	7,914	7,351	7,584	7,121	7,862	7,188	8,171	8,106	7,495	7,253	91,905
4400 Advertising	13,684	13,493	14,738	15,167	13,601	14,212	14,014	13,470	13,671	13,925	14,268	14,556	168,800
4410 Resident Events	13,853	12,788	13,614	13,594	13,672	13,783	12,984	13,463	12,820	14,276	14,256	13,153	162,257
4420 Office Supplies	3,574	3,594	3,836	3,822	3,379	3,735	3,687	3,753	3,682	3,720	3,835	3,395	44,012
4430 Legal & Professional	1,287	1,449	1,437	1,337	1,389	1,353	1,444	1,442	1,377	1,447	1,374	1,264	16,600
4440 Accounting & Audit	7,580	8,148	7,529	7,891	7,621	7,869	7,767	7,877	7,870	8,185	7,524	7,437	93,299
4450 Licenses & Permits	13,801	14,353	13,763	14,008	15,303	14,924	14,731	13,597	14,634	14,741	13,729	13,860	171,444
4460 Management Fee	10,414	10,989	10,242	11,442	10,970	10,646	10,978	10,612	10,552	10,620	10,997	10,333	128,795
4470 Property Insurance	13,862	14,228	13,710	13,657	14,396	13,359	12,994	13,894	13,815	14,053	14,476	13,778	166,222
4480 Real Estate Taxes	5,918	5,825	6,138	5,778	6,282	6,284	6,091	6,313	6,431	6,391	6,012	6,004	73,466
4490 Asset Management Fee	12,399	12,122	12,647	12,431	12,518	12,391	11,818	12,950	11,645	12,347	11,451	12,920	147,639
4500 Replacement Reserves	6,066	5,932	6,053	6,151	5,878	5,877	5,644	5,930	5,495	5,527	5,521	6,026	70,100
4510 Roof Repairs	6,359	6,272	6,300	6,845	6,665	6,169	6,111	6,544	6,627	6,331	6,326	6,675	77,226
4520 Parking Lot Repairs	4,975	5,371	4,791	5,309	5,252	5,114	5,483	5,064	5,167	5,059	4,942	4,908	61,436
4530 Signage	16,095	15,836	16,043	15,465	14,985	15,825	15,010	15,097	14,776	15,865	15,002	15,600	185,597
4540 Tenant Improvements	7,827	7,592	8,257	8,108	7,624	7,473	7,852	8,186	8,289	8,108	7,802	7,682	94,801
4550 Leasing Commissions	3,814	3,685	3,641	3,687	3,466	3,704	3,482	3,712	3,856	3,751	3,832	3,748	44,377
4000 Gross Potential Rent	130,097	125,340	121,925	127,306	133,673	132,984	126,934	136,983	126,743	131,033	123,504	135,092	1,551,613
4010 Loss to Lease	38,167	40,204	43,515	42,308	43,722	40,125	40,377	41,635	39,166	38,719	41,845	39,267	489,051
4020 Vacancy Loss	68,869	67,702	62,966	62,673	62,666	65,614	68,614	67,836	66,793	62,530	64,251	68,658	789,172
4030 Concessions	112,103	109,965	110,838	102,323	103,656	99,449	102,579	100,646	108,882	105,340	106,948	113,407	1,276,137
4040 Bad Debt	73,885	72,930	68,880	71,603	70,758	70,833	72,787	68,827	74,214	70,773	72,054	70,582	858,127
4050 Late Fees	52,932	52,241	50,695	49,297	54,084	51,435	49,814	52,188	47,889	48,529	51,065	53,246	613,414
4060 Utility Reimbursements	14,996	14,972	13,885	14,333	14,065	15,367	14,711	14,750	14,273	15,718	15,821	14,675	177,567
4070 Parking Income	89,770	84,916	93,877	94,225	94,601	85,297	88,158	91,875	91,374	94,648	85,758	93,481	1,087,981
4080 Application Fees	56,380	58,932	57,694	53,969	58,944	54,578	52,699	60,003	52,854	54,974	59,785	60,240	681,052
4090 Pet Rent	17,294	16,711	17,263	16,834	18,204	17,134	18,720	18,376	17,911	17,569	18,312	18,729	213,057
4100 Laundry Income	36,486	38,434	37,081	37,978	37,422	40,781	41,248	40,596	41,517	39,804	39,091	36,915	467,354
4110 Cable/Internet Revenue	97,307	95,195	97,160	91,146	92,855	93,086	100,063	98,646	100,109	93,586	96,638	93,922	1,149,714
4120 CAM Reimbursements	18,163	18,971	18,637	19,045	18,151	17,019	19,138	18,323	17,527	17,438	18,647	16,997	218,055
4130 Tax Reimbursements	16,890	17,254	16,585	18,701	18,652	16,956	17,372	18,148	18,339	17,710	16,970	18,608	212,185
4140 Insurance Reimbursemen	66,675	59,953	67,220	60,374	64,731	59,790	60,979	61,145	66,894	62,396	66,094	66,259	762,509
4150 Percentage Rent	14,602	13,699	13,392	13,372	14,309	13,399	14,177	14,669	13,938	13,192	13,482	13,222	165,454

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Income and Expense Review

Operating expenses totaled $57,000 or approximately 20.34 per square foot, with real estate taxes representing the largest line item. The building offers 46' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking. Debt service coverage ratio was 6.71x on a trailing basis against a covenant minimum of 1.20x. Net operating income is projected to grow at a compound annual rate of 5.2% over the hold period.

Net operating income is projected to grow at a compound annual rate of 3.3% over the hold period. Effective gross income for the trailing period was $45,000, representing a 7.6% increase over the prior year. Management fees are calculated at 3.8% of collected revenue and are included in operating expenses. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Management Commentary

Service requests are tracked through a work-order system with an average completion time of 7 hours. In-place rents average $11 per square foot triple net with 3% annual escalations. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 41 additional team members. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

The facility is located 1 miles from the interstate with access to a regional intermodal terminal. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. The manager completes a monthly walk of the property and submits a variance report to the owner by the 33th business day. Cross-dock and rear-load configurations allow for flexible multi-tenant demising. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. In-place rents average $11 per square foot triple net with 3% annual escalations.

Operating Performance

The building offers 40' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking. Operating expenses totaled $414,000 or approximately 19.42 per square foot, with real estate taxes representing the largest line item. Debt service coverage ratio was 5.18x on a trailing basis against a covenant minimum of 1.20x. Management fees are calculated at 6.3% of collected revenue and are included in operating expenses.

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The building offers 43' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking. Debt service coverage ratio was 8.00x on a trailing basis against a covenant minimum of 1.20x. Effective gross income for the trailing period was $455,000, representing a 9.8% increase over the prior year. Management fees are calculated at 4.3% of collected revenue and are included in operating expenses.

Leasing and Marketing

The manager completes a monthly walk of the property and submits a variance report to the owner by the 14th business day. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Service requests are tracked through a work-order system with an average completion time of 9 hours. Collections for the period were 88.4% of billed charges, with bad debt of 6.9% of gross potential income.

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 47 additional team members. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The building offers 18' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking. In-place rents average $11 per square foot triple net with 3% annual escalations.

Financial Analysis

Cross-dock and rear-load configurations allow for flexible multi-tenant demising. Debt service coverage ratio was 5.81x on a trailing basis against a covenant minimum of 1.20x. The going-in capitalization rate of 5.84% reflects the in-place income and the stabilized occupancy assumption. Operating expenses totaled $352,000 or approximately 22.96 per square foot, with real estate taxes representing the largest line item. The building offers 4' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking. Management fees are calculated at 6.9% of collected revenue and are included in operating expenses.

Net operating income is projected to grow at a compound annual rate of 4.1% over the hold period. The building offers 45' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking. The going-in capitalization rate of 8.09% reflects the in-place income and the stabilized occupancy assumption. Operating expenses totaled $352,000 or approximately 44.26 per square foot, with real estate taxes representing the largest line item. Management fees are calculated at 3.6% of collected revenue and are included in operating expenses.

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Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4200 Payroll Taxes & Benefits	9,977	9,824	10,106	10,798	9,731	9,798	10,100	9,787	10,143	10,551	9,817	10,508	121,141
4210 Repairs - Plumbing	14,634	13,485	14,086	14,868	14,453	13,288	14,304	14,990	14,383	13,986	13,442	13,811	169,728
4220 Repairs - HVAC	8,133	8,777	8,189	8,246	9,146	8,113	8,298	9,001	8,254	8,340	8,683	8,268	101,448
4230 Repairs - Electrical	4,299	4,517	4,016	4,208	4,581	4,484	4,032	4,364	4,088	4,048	4,266	4,022	50,924
4240 Repairs - Appliances	12,741	12,299	12,564	12,411	13,088	12,875	13,286	12,151	12,728	12,574	13,063	12,494	152,274
4250 Painting & Decorating	13,633	14,098	13,573	13,491	13,342	13,796	13,930	14,926	13,991	13,180	13,874	13,517	165,352
4260 Flooring	8,202	7,513	7,967	8,492	8,418	8,162	8,464	8,115	7,403	7,500	8,200	8,213	96,652
4270 Make-Ready / Turnover	4,033	4,092	4,058	3,910	3,882	3,680	4,022	3,951	3,735	3,943	4,069	3,855	47,230
4280 Landscaping Contract	2,188	2,109	2,010	2,157	2,075	2,161	2,053	1,983	2,049	2,015	2,168	2,110	25,079
4290 Snow Removal	13,682	14,929	13,243	14,809	14,128	14,850	13,716	13,938	13,502	14,953	14,363	13,798	169,910
4300 Janitorial	7,454	7,707	7,391	7,510	7,565	7,833	7,075	7,727	7,179	6,971	7,412	6,978	88,801
4310 Pest Control	13,450	11,998	12,470	13,196	13,193	12,436	12,887	13,532	12,793	13,718	12,586	13,280	155,538
4320 Trash Removal	12,393	12,644	12,446	12,735	11,347	11,691	11,365	11,350	12,786	12,389	12,405	12,847	146,397
4330 Elevator Contract	8,425	8,551	8,196	8,359	8,847	8,329	8,428	8,944	8,243	8,382	8,356	8,514	101,573
4340 Fire & Life Safety	9,262	9,842	9,858	9,397	9,915	9,615	9,156	10,327	9,539	9,801	9,447	9,836	115,995
4350 Security	15,152	15,189	15,038	15,355	16,311	15,368	14,648	15,483	16,431	15,861	15,915	14,583	185,333
4360 Electricity - Common	6,294	6,612	6,153	6,762	6,725	6,036	6,024	6,877	6,740	6,118	6,605	6,866	77,811
4370 Gas - Common	11,311	11,137	10,738	11,436	11,245	11,167	10,772	10,114	10,596	10,816	11,184	10,572	131,087
4380 Water & Sewer	7,236	6,942	7,754	7,068	7,372	7,103	6,857	6,832	7,444	7,582	7,375	6,902	86,468
4390 Telephone/Internet	9,336	9,428	9,582	8,828	9,143	9,899	9,502	8,816	8,713	8,927	9,329	9,980	111,482
4400 Advertising	9,174	8,801	9,048	8,616	9,258	9,305	9,044	9,741	8,731	8,819	8,937	8,632	108,106
4410 Resident Events	14,119	13,558	13,184	12,824	13,704	13,729	14,082	13,696	12,643	13,934	13,993	13,246	162,711
4420 Office Supplies	10,292	9,972	10,332	10,166	10,153	9,424	9,356	10,256	10,247	10,095	9,254	9,774	119,321
4430 Legal & Professional	10,274	10,812	10,098	10,306	10,498	11,033	10,887	10,169	9,952	10,735	10,838	10,889	126,491
4440 Accounting & Audit	13,524	12,566	13,390	13,930	13,621	13,693	12,605	13,176	12,726	13,210	13,274	13,803	159,518
4450 Licenses & Permits	7,189	7,884	7,127	7,167	8,017	7,513	7,899	7,346	7,498	7,835	7,365	7,172	90,011
4460 Management Fee	12,768	11,987	11,782	11,645	12,344	12,480	12,187	11,845	12,752	12,177	13,024	12,613	147,604
4470 Property Insurance	10,026	9,470	9,529	10,342	9,907	10,386	10,545	9,868	10,430	9,444	10,389	9,617	119,953
4480 Real Estate Taxes	4,051	4,555	4,149	4,413	4,162	4,506	4,217	4,408	4,473	4,192	4,303	4,315	51,744
4490 Asset Management Fee	5,758	5,667	6,161	5,793	6,192	6,245	6,145	5,667	5,886	6,078	6,343	5,912	71,847
4500 Replacement Reserves	8,217	8,420	8,087	7,749	8,045	8,395	7,875	8,481	8,199	7,768	8,327	7,631	97,192
4510 Roof Repairs	11,846	13,081	13,412	12,857	12,357	12,585	12,225	13,047	12,097	13,291	13,096	12,357	152,252
4520 Parking Lot Repairs	13,014	13,359	12,876	13,429	14,096	14,157	13,245	13,185	14,271	13,229	13,762	12,930	161,552
4530 Signage	7,015	6,895	7,435	6,509	6,835	7,117	6,522	6,702	6,579	7,067	6,552	6,518	81,745
4540 Tenant Improvements	7,573	7,866	7,917	7,244	7,826	7,935	7,831	8,208	8,186	7,860	8,058	7,550	94,055
4550 Leasing Commissions	6,515	6,956	6,838	7,011	6,989	6,387	6,775	7,187	6,594	6,496	6,778	7,263	81,790
4000 Gross Potential Rent	136,693	130,824	127,727	136,787	132,116	134,461	136,624	124,738	133,781	132,685	137,768	136,291	1,600,494
4010 Loss to Lease	28,375	27,586	30,481	31,484	30,507	28,806	30,348	30,028	31,134	28,694	31,263	29,756	358,464
4020 Vacancy Loss	105,697	110,728	103,467	109,267	98,533	100,595	104,532	102,550	102,090	101,667	97,099	104,268	1,240,493
4030 Concessions	71,303	74,907	74,406	73,602	69,201	72,451	73,336	69,862	72,655	78,690	76,455	71,978	878,845
4040 Bad Debt	80,657	76,449	78,969	83,918	75,636	75,390	73,664	81,227	80,354	75,655	80,022	74,819	936,761
4050 Late Fees	99,498	107,301	101,797	106,113	99,233	105,270	102,166	105,595	97,910	107,511	98,551	100,043	1,230,989
4060 Utility Reimbursements	48,253	48,300	44,710	48,571	44,486	44,952	48,035	50,388	46,984	44,409	47,162	44,361	560,611
4070 Parking Income	21,613	21,505	22,965	22,096	21,072	23,033	22,054	22,860	23,802	21,326	23,627	21,204	267,156
4080 Application Fees	75,310	74,949	82,021	85,212	82,007	78,625	77,099	76,868	82,841	75,022	77,035	76,539	943,529
4090 Pet Rent	95,713	99,128	100,741	101,011	93,472	96,064	90,544	92,576	91,682	92,478	94,066	97,224	1,144,699
4100 Laundry Income	25,303	26,467	25,694	25,715	26,344	27,354	25,300	27,936	26,931	25,122	28,676	28,081	318,921

Report generated 04/20/2025. Figures are unaudited and subject to change.

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Summary and Notes

Valuation Discussion

Debt service coverage ratio was 5.79x on a trailing basis against a covenant minimum of 1.20x. Net operating income is projected to grow at a compound annual rate of 4.2% over the hold period. Operating expenses totaled $274,000 or approximately 12.16 per square foot, with real estate taxes representing the largest line item. In-place rents average $11 per square foot triple net with 3% annual escalations. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The going-in capitalization rate of 5.07% reflects the in-place income and the stabilized occupancy assumption.

Management fees are calculated at 7.4% of collected revenue and are included in operating expenses. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Cross-dock and rear-load configurations allow for flexible multi-tenant demising. Operating expenses totaled $256,000 or approximately 42.28 per square foot, with real estate taxes representing the largest line item. Effective gross income for the trailing period was $226,000, representing a 4.1% increase over the prior year. The facility is located 6 miles from the interstate with access to a regional intermodal terminal.

Leasing and Marketing

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The building offers 30' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking. The facility is located 6 miles from the interstate with access to a regional intermodal terminal. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. In-place rents average $11 per square foot triple net with 3% annual escalations.

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 42 additional team members. Cross-dock and rear-load configurations allow for flexible multi-tenant demising. Collections for the period were 88.6% of billed charges, with bad debt of 6.3% of gross potential income. The manager completes a monthly walk of the property and submits a variance report to the owner by the 27th business day.

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